

Multiple Choice

1. **Answer:** D

Options: A) less choices due to inflation.; B) financial assets being worth less due to inflation.; C) a la carte savings falling.; D) resource misallocation due to inflation.

Note: Correct option: D - resource misallocation due to inflation.

2. **Answer:** B

Options: A) The FED lowers the discount rate.; B) The FED sells government securities in the secondary market.; C) The federal government spends less money.; D) The FED lowers reserve requirements.

Note: Correct option: B - The FED sells government securities in the secondary market.

3. **Answer:** D

Options: A) decreases over time; B) equals the full-employment level of real GDP; C) is above the full-employment level of real GDP; D) is below the full-employment level of real GDP

Note: Correct option: D - is below the full-employment level of real GDP

4. **Answer:** C

Options: A) The equilibrium price will rise and the equilibrium quantity will fall.; B) The equilibrium price will fall and the equilibrium quantity will rise.; C) The equilibrium price and the equilibrium quantity will both rise.; D) The equilibrium price and the equilibrium quantity will both fall.

Note: Correct option: C - The equilibrium price and the equilibrium quantity will both rise.

5. **Answer:** C

Options: A) As the demand for bonds increases the interest rate increases.; B) For a given money supply if nominal GDP increases the velocity of money decreases.; C) When demand for stocks and bonds increases the asset demand for money falls.; D) A macroeconomic recession increases the demand for loanable funds.

Note: Correct option: C - When demand for stocks and bonds increases the asset demand for money falls.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'both (A) and (C)'.

7. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'fiscal policy is more effective than monetary policy'.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'substitute goods.'
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'raise the price level.'

Long Form Response

11. **Answer:** Efforts to decrease the prices of substitute resources. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** The equilibrium price level and quantity of output increase.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key